



Implementation Tools: Opening Balances

SAP Business One
Version 10.0

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THE BEST RUN 

In this course you will learn how to enter opening balances for a new customer implementation.

Objectives



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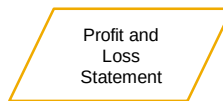
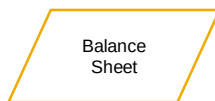
- Describe the process for migrating legacy balances for business partners, inventory, and G/L accounts into a new SAP Business One system
- Explain the best practices and tools for entering opening balances

- In this topic, you will learn the process for migrating legacy balances for business partners, inventory, and G/L accounts into a new SAP Business One system prior to going live.
- You will also learn best practices and tools for entering opening balances from the legacy system.

Business Scenario

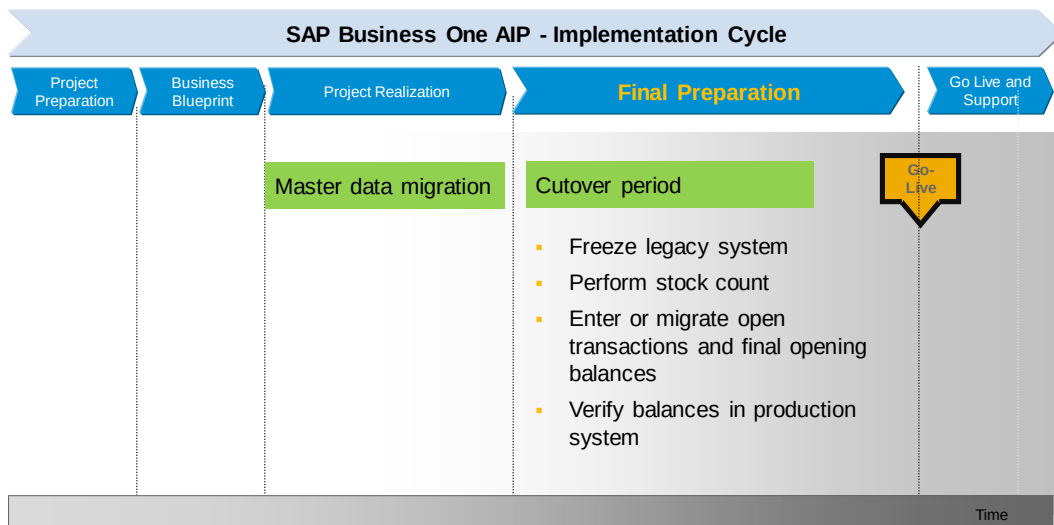


- The customer will go live in two days. Once the legacy system is closed down, you need to balance the accounts from the legacy system with the account balances in SAP Business One
- To accomplish this, you need to enter the balances for G/L accounts and business partners, and enter item quantities and costs, so that the financial reports match



- Just before go-live, you have a short timeframe where you must enter the G/L account balances from the legacy system, including the balances for business partner accounts. You also need to enter the item quantities and costs. At the end of this effort, the financial reports in the new SAP Business One system match the legacy reports.

Cutover Period in the Implementation Cycle



- The period immediately before go-live is called cutover. This period can be as short as a few hours, or can last a few days, such as over a weekend.
- During the cutover period the major activities are to:
 - Freeze the legacy system so no new transactions are entered. In the frozen legacy system, reconcile business partner accounts and try to close out documents to minimize the quantity of open transactions.
 - Perform a stock count.
 - Enter or migrate open transactions and final opening balances into the new SAP Business One system.
 - At go-live, financial information in the SAP Business One system must match the legacy system balance sheet accounts.

Things to consider include:

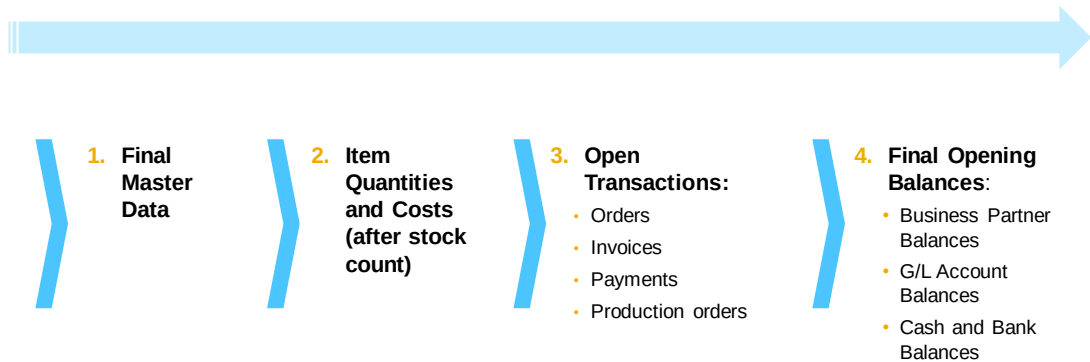
- Will the new SAP Business One system run in parallel with the legacy system for a period of time?
- Can the go-live take place at the start of the customer's fiscal year or will it happen during the fiscal year?
- Can open transactions in the legacy systems be closed before the cutover?

Data Migration During Cutover



During cutover, it is recommended to migrate final transactions and opening balances in a certain order, to avoid duplicate postings.

Data Migration Order for Opening Balances



Reference: AIP Data Migration Guide

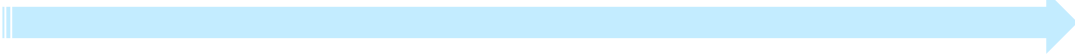
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In general you should follow this order for transferring the final data from the legacy system:

1. Final master data (that was added by the customer after the initial master data migration)
 2. Item quantities and costs (to match the legacy system values at the point of cutover)
 3. Open transactions from the legacy system, such as purchase and sales orders and invoices, partial payments and production orders
 4. Final account balances for business partners and G/L accounts including cash and bank accounts
- In conjunction with this training you should refer to the Data Migration Guide from the AIP methodology for a detailed step-by-step guide to opening balances.

Final Master Data Migration



1. Final Master Data



Migrate any new master data created in the legacy system after the main migration ends:

- Business Partner Groups and Master Records
- Item Groups and Master Records
- Bills of Material
- Resources for Production
- Price Lists
- Catalogue Numbers
- Employee Master Data
- Service Contracts
- Service Templates
- Customer Equipment Card
- Knowledgebase Solutions

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- Master data is usually migrated in the Project Realization phase of the implementation project; however, there may be a need to migrate new master data created in the legacy system after the main migration ends.
- Final master data may cover not just last minute business partner and item master records, but also bills of material, resources for production, price lists, catalogue numbers, employee records and service information such as existing contracts, templates, equipment cards and a solution knowledgebase.
- The customer should be encouraged to clean up the legacy data before migrating it to the new system. This might include:
 - Removing duplicate master data
 - Removing old, inactive business partners or products
 - Consolidating price lists or introducing new price lists
 - Using a new numbering scheme for customer and vendor codes, product numbers, or chart of account numbers.

Item Quantities and Costs

2. Item Quantities and Costs



- Item quantities and costs are entered from the customer's stock count
- Migrating item quantities must be carefully planned since there could be open transactions on the legacy system which impact inventory when they are migrated
- If perpetual inventory is in use, inventory G/L account will be updated with inventory valuation when quantities are migrated

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- Item quantities and costs must be entered into SAP Business One to reflect the legacy system. The customer should freeze operations on the legacy system, and perform a stock count first, so that item quantities are accurate.
- Migrating item quantities must be carefully planned since there may be open transactions on the legacy system which may affect inventory levels once they are carried over to the new system. For example, open deliveries which would release inventory.
- The item cost is used for calculation of inventory valuation. If the system uses perpetual inventory, the inventory G/L account will be updated when the item quantities are migrated.

Open Transactions

3. Open Transactions



Classify open transactions into:

Documents that do not affect inventory or accounting:

- Sales Quotations
- Sales Orders not linked to deliveries
- Purchase Quotations
- Purchase Orders not linked to goods receipts
- Production orders

Documents that do not affect inventory but do affect accounting

- A/R invoices*
- A/P invoices*
- Payments, including down payments, partial payments

Documents that will affect inventory

- Deliveries**
- Returns**
- Credit notes**

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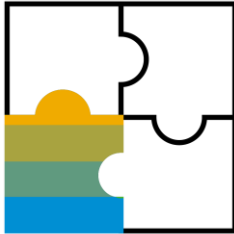
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- Open transactions are those that are currently in process on the legacy system.
- You should classify open transactions into:
 - Open documents that do not impact accounting or inventory, such as sales quotations, sales orders not linked to deliveries, purchase quotations, purchase orders not linked to goods receipts, and production orders. These are easily imported using the Data Transfer Workbench (DTW) tool.
 - Open documents that do not affect inventory but do affect accounting balances are A/R and A/P invoices and Payments. Care must be taken when you import these documents since the invoices can affect inventory if there is no preceding delivery or goods receipt imported.
 - ***Caution:** SAP recommends that these A/R and A/P invoices are imported as *service type* invoices instead of item type documents to avoid the possibility of inventory updates.
 - Open documents that do affect inventory, such as deliveries, returns, and credit notes
 - ****Caution:** SAP recommends that these transactions are *not* migrated, since this can lead to an imbalance between stock quantities and valuation. Instead the customer should try to invoice or close these documents on the legacy system. If it is not possible, the customer should retain these documents and process them on the legacy system until they are closed.
- Before you import transactional data, you must clarify with the customer if legacy documents should be entered with the original number. If the customer needs the original legacy numbers, use manual document numbers when importing the documents.

Final Opening Balances

4. Final Opening Balances:

- Business Partner Balances
- G/L Account Balances
- Cash and Bank Balances



- If item quantities and costs were imported in step 2, and perpetual inventory is used, the inventory G/L account is already correct and should be excluded in this step
- If all open invoices and payments were imported in step 3, the A/R and A/P control accounts should be already correct and should be excluded in this step
- Before transferring balances for bank accounts, customer should reconcile bank transactions in the accounts:
 - If account can be fully reconciled, transfer the balance amount
 - If account is not fully reconciled, need to post unreconciled transactions individually

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- Lastly, enter the final opening balances for business partners and G/L accounts including bank accounts.
- **Important:**
 - If the item quantities and costs have been imported in step 2, and perpetual inventory is used, the inventory G/L account is already correct, and should be excluded to avoid duplicate updates.
 - If all open A/R and A/P documents have been imported in step 3, together with all partial payments, down payments, or payments in advance not based on invoice, the final balances for business partners should already be correct. In this case do not enter the balances for the A/R and A/P control accounts to avoid duplicate updates.
 - Before transferring the G/L accounts for bank accounts, the customer should attempt to reconcile the transactions in the bank accounts. If the account can be fully reconciled, you can transfer the balance. If there are unreconciled transactions in the account, you need to post these transactions individually in SAP Business One.

Tools for Importing Opening Balances

Multiple tools are available for importing final opening balances and open transactions:

Type of Opening Balance	Opening Balance Transaction	Data Transfer Workbench	Import from Excel utility*	Manual Documents
Inventory	✓	✓ (Goods receipt)	✓	Goods Receipt
G/L Accounts	✓	✓ (Journal entry)	✓	Journal Entry
Business Partner	✓	✓ (Invoice, payment)	✓	Invoice, Payment, etc.
Open Documents		✓ (Order)		Sales and purchase orders, etc.

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There is no single approach to import opening balances. Multiple tools are available in SAP Business One for importing final opening balances:

- Opening balance transaction is an easy to use tool built into the client and can be used to enter inventory quantities and valuation, G/L account balances and business partner account balances.
- Data Transfer Workbench (DTW) is a tool for import of bulk documents and can be used to import goods receipts, journal entries, open transactions such as sales and purchase orders, and open transactions that affect accounting, such as A/R and A/P invoices. An advantage of this approach is that you have a document in SAP Business One as the source. DTW requires a knowledge of the database table structure.
- The Import from Excel utility is an in-built tool for import of master data. It processes data from a Microsoft Excel spreadsheet. *It can also be used to populate the opening balances transaction window for inventory, G/L accounts and business partner accounts.
- Lastly, if data loads are low, you can manually enter the documents.

Note: In this course the focus is on the opening balances transactions. For more information on DTW see the related course Using Data Transfer Workbench in this training. For more information on the Import from Excel utility see the related course Import from Excel in this training.

Effects of Marketing Documents

- When you import or manually create marketing documents, postings are made to inventory and to various accounts in the general ledger

	Inventory	BP balance	Revenue	Inventory accounts
Sales Order	●			
Delivery	●			●
A/R Invoice		●	●	
A/R Invoice (with no preceding documents)	●	●	●	●

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When you import or create marketing documents such as sales and purchase orders, and A/R and A/P invoices, be aware of the impact on inventory and general ledger accounts. As an example:

- An imported sales order will commit stock from inventory
- An imported delivery for the sales order will affect the in stock quantity and will make postings to inventory-related accounts in the general ledger, including the valuation of inventory if continuous stock is in use
- An imported A/R invoice for the delivery will post to the business partner account, as well as revenue and tax-related accounts
- If you decide to import only the A/R invoice with no preceding documents, the A/R invoice will make the postings and stock changes that would have been made by the preceding documents.

If you are loading the transactions as part of the opening balances for a new company, you must make sure that the documents you import are not “double counted” in inventory.

When you import or create invoices you need to avoid “double entry” of the control accounts when you enter the opening balances.

If you decide to import the A/R invoices as service-type invoices instead of item-type invoices, you will avoid the stock postings, but there will still be postings to the business partner and revenue accounts.

Reconciliation Reports

Legacy System

- Inventory quantities and values
- Business partner balances
- G/L Account balances
- Open orders

SAP Business One

- Inventory Audit Report
- Aging Reports
- Balance Sheet / Profit & Loss
- Open Items List

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- Regardless of how you perform the migration of items, G/L accounts and business partner balances, you need to reconcile the accounts between SAP Business One and the legacy system. Print and retain a hard copy of all reconciliation reports from SAP Business One and the legacy system to prove the migration correctness:
 - To reconcile inventory quantities and values, run the *Stock Audit Report*. Match the item quantities in SAP Business One with the quantities in the legacy system.
 - To reconcile business partner balances, run the *Customer Receivables* and *Vendor Liabilities Aging* reports with a posting date range until the start of the current fiscal year. Make sure the business partner opening balances in SAP Business One align with the legacy system.
 - To reconcile G/L account balances, run the *Balance Sheet* as per the first day of the current fiscal year.
 - If you migrated other open items such as sales orders and purchase orders, run the *Open Items List* report in SAP Business One and compare with the corresponding open items in the legacy system.

Inventory Opening Balances



- In this section you will learn the tools for importing inventory quantities and costs as opening balances.

Inventory Opening Balance Transaction

Inventory > Inventory Transactions > Inventory Opening Balance

- The transaction allows you to enter in stock quantity and unit price for each item, by:
 - Selecting item codes and entering the quantity and cost for each item, or
 - Importing rows into the grid using the *Import from Excel* utility
- You can select the price source as:
 - Item cost
 - Selected price list
 - Last evaluated price
- If perpetual inventory in use, the transaction posts to the inventory account

#	Item No.	Item Description	Whse	Bin Location	In Warehouse	Opening Balance	Unit Price
1	000010	PCM SLR 3000	01		245	10	GBP 225.00
2	000011	KG 4-Port USB 2.0 Travel	01		62	15	GBP 0.50
3	000001	Portable Hard Disk 1 TB	01		216	1	GBP 22.50
4	000002	Portable Hard Disk 2 TB	01		256	1	GBP 35.00
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					779		

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The opening balances transaction allows you to enter the in stock quantity and the unit price for each item, from a single screen.

The transaction works in two ways:

- You can select items to populate the rows in the window, and then enter the quantity and cost on each row, or
- You can choose *Import Items* to populate the entire row grid from a spreadsheet (using the *Import from Excel* utility). See the related *Import from Excel* course for more details.

The unit price might represent the cost of manufacturing the item, or cost of purchasing the item. For a new implementation this price is taken from the legacy system. The *Price Source* dropdown list lets you select the source:

- **Item Cost:** the price will be taken from the item master data
- **By Price List:** if you have already set up a price list for the item, the price will be taken from the selected price list
- **Last Evaluated Price:** This is only relevant if a warehouse valuation report was previously generated in SAP Business One

You also have the option to enter the item cost directly on the item row.

Tip: If you are using moving average valuation, you can create a price list with the average prices from the legacy system and choose this price list in the opening balances transaction.

When you post this transaction it updates the in stock quantity of each item (this is reflected in the item master data). If you are working with perpetual inventory, it also posts a journal entry to record the value of inventory.

Inventory Opening Balance Transaction (Cont.)

Inventory → **Inventory Transactions** → **Inventory Opening Balance**

- If item is managed by batch or serial number, right-mouse click item row to enter applicable batch or serial information
- If you select a bin location enabled warehouse for an item you can enter the bin location for the item

The screenshot shows the SAP 'Inventory Opening Balance' transaction. At the top, there are fields for Posting Date (01.01), Document Date (01.01), Price Source (By Price List), and Price List (Discount Purchase Price). Below these is a table with columns: #, Item No., Item Description, Whse, Bin Location, and In Warehouse. The table contains 7 rows of items. A right-click context menu is open over row 6, which is 'Rechargeable battery'. The menu options include: Save as Draft, Cut, Copy, Copy Table, Paste, Delete, Repeat (Delete Row), Maximize/Restore Grid, Add Rows, Delete Row, Journal Entry Preview, Row Details..., List of Items, and Serial and Batch Selection. The 'Serial and Batch Selection' option is highlighted at the bottom of the menu.

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The screenshot shows the same SAP 'Inventory Opening Balance' transaction. The table from the previous screenshot is visible. In this view, the 'Bin Location' column header is highlighted with a yellow box. The table contains 7 rows of items, with row 6 being 'Rechargeable battery'.

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- If the item is set to be managed with batch or serial numbers, you can right-mouse click the item row and select serial or batch from the context menu to enter the applicable serial numbers or batch information.
- If you select a bin location enabled warehouse, the Bin Location column becomes editable allowing you to enter the bin location holding the item.

Considerations for Perpetual Inventory

- If perpetual inventory is in use, you need to consider the valuation method so that the valuation matches the legacy system
- Make sure this account balance is not entered again when entering G/L balances

Item Quantity and Cost	Standard Cost: Unit Cost	Moving Average: Unit Cost	FIFO: Unit Cost
5 @ 100	100	100	100
5 @ 200	100	150	200
Value of items in inventory account	1000	1500	1500



Note: the batch/serial number valuation is similar to FIFO

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- If perpetual inventory is in use in the legacy system, you need to consider each of the valuation methods so that the valuation correctly matches the legacy system. Also make sure the inventory account balance is not entered again when entering G/L balances.
- Here is a simple example of how the valuation method can affect the unit price. In the example, 5 items were purchased at a cost of 100, and another 5 items purchased at a cost of 200.
 - With standard cost valuation the item cost is fixed so you can use the cost from the legacy system.
 - With moving average the item cost for an item will be recalculated each time based on the quantity, therefore you need to calculate the average unit cost from the legacy system.
 - With FIFO valuation you should enter the item cost multiple times with different quantities using the cost price from each layer in the legacy system.
- Note that the batch/serial number valuation method is similar to FIFO, in that the unit cost is kept at the level of the batch or individual serial number.

Journal Entry

If perpetual inventory in use, journal entry updates the default inventory account defined in the G/L account determination

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If perpetual inventory is in use, the journal entry updates the default inventory account defined in the G/L account determination, and credits an offsetting account that you specify in the right-hand column of the grid row. SAP recommends you create an opening balances G/L account (usually in the equity drawer) and use this offsetting account to ensure there is no effect on other general ledger accounts. The offsetting account can be selected on each item row.

Opening Balances for G/L Accounts



- In this section you will learn tools and best practices for entering final G/L account opening balances.

G/L Account Opening Balances - Introduction

Account Name	Debit	Credit
Assets:		
Cash	150.000	
Inventory	90.000	
Receivables (A/R)	79.000	
Equipment	51.000	
Liabilities:		
Loans		28.000
Employees		125.000
Payables (A/P)		17.000
Equity:		
Equity		200.000
TOTAL:	370.000	370.000

- If go-live is at start of fiscal year, conduct period-end closing on the legacy system and transfer only balance sheet accounts
- If go-live is during fiscal year, transfer profit & loss accounts in addition to balance sheet accounts
- If you have already imported A/R and A/P invoices, do not enter control account balances
- If you have already imported item costs, do not enter inventory account balances (for perpetual inventory)

- If the go-live occurs at the *start* of a fiscal year, conduct period-end closing on the legacy system, then transfer the G/L account balances from the balance sheet drawers.
- If the go-live occurs *during* the fiscal year, you need to transfer the balance sheet accounts and the profit and loss accounts in addition. The customer should run the P&L report for each period since the start of the financial year. This will allow you to enter the balances for each period in SAP Business One.
- If you have already imported open A/R and A/P invoices, do not enter balances for these control accounts.
- If you have already imported item costs, do not enter inventory account balances again (for perpetual inventory).
- For more information, refer to the *Data Migration Guide* in the AIP materials.

G/L Accounts Opening Balance Transaction

Administration → System Initialization → Opening Balances → G/L Accounts Opening Balance

To use the transaction:

- Select drawers from chart of accounts
- Select opening balance account
- Enter balance in account row
- To spread balances over a fiscal year, post balances for each period
- If *Display Credit Balance with Negative Sign* checkbox is enabled, enter a minus sign for credit balances.

The screenshot displays the 'G/L Accounts Opening Balance' transaction window. At the top, the 'Opening Balance Account' is set to '334000'. Below this, there are fields for 'Date', 'Ref. 1', 'Ref. 2', and 'Remarks'. The main area is a grid with columns for 'Date', 'Code', 'Name', 'Balance (LC)', 'Balance (FC)', 'Balance (SC)', and 'OB (SC)'. The grid is populated with various G/L accounts and their corresponding opening balances. A yellow circle highlights the 'Opening Balance Account' field, and a yellow box highlights the grid area. A yellow callout bubble points to the 'Import from Excel' button at the bottom right of the grid area.

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- The G/L accounts opening balance transaction in SAP Business One allows you to enter the opening balance for each G/L account on a row in a single screen. You can use and follow the trial balance from the legacy system.
- When you open the transaction the window is populated with the accounts from the drawers that you select.
- You *must* first select an opening balance account. This acts as the offsetting or balancing account for the posted journal entries, and should end up with a zero value after all the G/L balances have been entered from the legacy system.
- Although a separate journal entry is posted for each account row, the posting date is the same. Therefore you need to decide whether to enter the balances spread over a fiscal year, for example, you can divide the balances by posting period, and post for each period with the posting date set to the end of the month. You can enter several balances with different dates for the same account.
- When entering opening balances, you must enter the minus sign for credit balances if the *Display Credit Balance with Negative Sign* checkbox is set in *Company Details*.
- The *Import from Excel* button provides a way to populate the grid area (rows) of this transaction from a spreadsheet. See the related course *Import from Excel* for more details.

Result – G/L Accounts Opening Balance Transaction

Separate journal entry posted for each G/L account row:

The screenshot shows the SAP Journal Entry window. The top section contains fields for Series (Primary), Number (2366), Posting Date (01.01.), Due Date (01.01.), Doc. Date (01.01.), and Remarks (G/L Accounts Opening Balance). Below these are fields for Origin (OB), Origin No. (2366), Trans. No. (2366), Template Type, Template, Indicator, and Project. There are also checkboxes for Fixed Exchange Rate, EJJ Report, Automatic VAT, Manage Deferred Tax, and Manage WTax. A Blanket Agreement field is also present.

The main table is titled 'Expand Editing Mode' and contains the following data:

#	G/L Acct/BP ...	G/L Acct/BP Name	Debit	Credit	VAT Code	VAT Number	Tax Amount	Gross Value	Base Amount
1	101010	Capitalised Business Exp	BP 120,000.00						
2	390020	Opening Balances Offs		BP 120,000.00					
			BP 120,000.00	BP 120,000.00					

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- The transaction posts a separate journal entry for each account row.
- The *Origin* of the opening balance journal entry is 'OB' which helps you to identify these journal entries for reporting.

Opening Balances for Business Partners



- In this section you will learn about tools for entering business partner opening balances.

Business Partner Opening Balances

Administration → System Initialization → Opening Balances → Business Partners Opening Balance

Business Partners Opening Balance

Opening Balance Account: 140000 Opening Balances

Date: 01.01 Ref. 1: Ref. 2: Remarks: Business Partners Opening Balance

Due Date	Code	Name	Control Account	Balance (LC)	Balance (FC)	Balance (SC)	OB (SC)
01.01.	C23900	Parimeter Tech	140000	GBP -15,376.78		GBP -15,376.78	
01.01.	C25000	Star Company	140000	GBP 975.18	EUR 1,136.60	GBP 975.18	
01.01.	C26000	River Ltd	140000	GBP 5,094.00		GBP 5,094.00	
01.01.	C29009	Lz Computers	140000				
01.01.	C30000	Microchips	140000	GBP 1,392.00		GBP 1,392.00	
01.01.	C33000	Danny Music	140000				
01.01.	C40000	Earthshaker Co	140000	GBP -1,653.03		GBP -1,653.03	
01.01.	C42000	Mashina Corp	140000	GBP 36.00		GBP 36.00	
01.01.	C420001	Mashina Corp	140000				
01.01.	C50000	ADA Technology	140030				
01.01.	C60000	SG Electronics	140030	GBP -26,627.56	SI 40,288.78	GBP -26,627.56	
01.01.	C70000	Aquent Systems	140030	GBP 2,325.72	USD 3,073.58	GBP 2,325.72	
01.01.	C80000	Pivotal Solutions	140030	GBP 50,317.77	USD 62,275.14	GBP 50,317.77	
01.01.	C99999	Web Customer	140000	GBP 1,596.00		GBP 1,596.00	
01.01.	C99999	One Time Cash	140000	GBP 463.09		GBP 463.09	
01.01.	Ecdn		203000				
01.01.	V10000	Acme Associates	203000	GBP -4,860.00		GBP -4,860.00	
01.01.	V1010	Far East Imports	203000	GBP -2,400.00		GBP -2,400.00	

Buttons: Add, Cancel, Import From Excel

Option to import rows from spreadsheet into grid area

- Alternative to importing invoices and payments
- Window is populated with selected business partners
- Select a clearing account and enter the balance for each business partner on a row, with the correct due date for aging. Make sure the relevant posting periods are open
- If the business partner account contains multiple transactions you can rerun the transaction
- If *Display Credit Balance with Negative Sign* checkbox is enabled, enter a minus sign for credit balances.

- The business partners opening balance transaction is an easy to use tool, and an alternative to importing invoice documents and payments using DTW.
- When you open the transaction the window is populated with the selected business partners. You first need to select an opening balances clearing account which is used in the journal entry as the offsetting account.
- If possible use the aging report from the legacy system. You enter the legacy account balance on a row for each business partner, with the correct due date for aging. To support aging in the new system, you should specify the accurate due date for each transaction. Note: make sure that the posting periods in SAP Business One are open so that postings can be made with the original due dates.
- The default *control account* from the master data is selected on the row, but you can select a different control account if necessary from the list of defined control accounts.
- If the business partner account contains multiple transactions with different due dates, you can enter each transaction separately by rerunning the opening balance transaction. You should also enter a row for any business partner prepayment or down payment.
- If you are starting in the middle of the financial year and you want to see beginning balances from the start of the year in SAP Business One, you must enter the opening balances for each business partner as of the last day of the *previous year*, and then enter a *delta balance* for each business partner for each successive posting period.
- There is an option to import data into the grid of the transaction using the Import from Excel utility.
- Note:** If the *Display Credit Balance with Negative Sign* checkbox is enabled in the *Company Details* setup screen, enter a minus sign for credit balances.

Result – Business Partners Opening Balance Transaction

- Journal entry posted for each row. The business partner balance in the account is updated.
- The journal entry can subsequently be selected for matching payments and also appears in the aging report.

Business Partners Opening Balance

Date	Ref. 1	Ref. 2	Remarks
01.01.2018			Business Partners Opening Balance
Due Date	Code	Name	Control Acct
01.01.2018	C23000	Parameter Test	140000
01.01.2018	C23000	Star Company	140000
01.01.2018	C23000	River Ltd	140000
01.01.2018	C30000	Microchips	140000
01.01.2018	C30000	Orbity Asia	140000
01.01.2018	C40000	Bathmaker Corp	140000
01.01.2018	C42000	Mashira Corp	140000

Customer Receivables Aging

#	Customer Code	Customer Name	Blanket Agreement	Type	DOC No.	Instal. No.	Posting Date	Due Date
882				RC	1106		17.08.17	17.08.17
883				IN	1294	1	04.08.18	03.09.18
884	C80000	Pivotal Solut	N/A					
885	C99998	Web Custom	N/A					
886	C99999	One Time Cx						

Due date reflected in aging report

Account Balance – F23100, AV Sings

#	Posting Date	Origin	Origin No.	Offset Account	Details	C/D (LC)	Balance Due (LC)	C/D (FC)
1		OB					GBP 5,00	
2	01.01.18	OB	5	355001	Business Partners Ope		GBP 7,826.50	GBP 7,826.50
							GBP 7,826.50	

Journal entry in business partner account (identified with origin OB)

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- When the opening balances are posted a journal entry is created for each row and the business partner account is updated. The origin code of the journal entry is OB, which helps you to identify these opening balances journal entries. The journal entry can subsequently be selected for matching payments.
- If the system currency differs from the local currency, the balances are converted automatically. The data is displayed in the Balance (SC) column. If accounts were defined as foreign currency accounts in the chart of accounts, the *OB (FC)* field is enabled for input.
- The journal entry also appears in the aging report with the due date entered on the row.

Summary



Key points from this topic:

- The goal of opening balances is to match the financial reports of the legacy system and the SAP Business One system.
- SAP recommends that you migrate opening balances in a certain order:
 - Final master data
 - Item quantities and costs
 - Open transactions
 - Final balances for business partners, items, and G/L accounts (including bank transactions)
- During cutover, the legacy system is frozen and stock is counted. Open transactions should be closed if possible. Business partner and bank accounts should be reconciled.
- To import opening balances you can use the opening balances transactions for items, business partners and G/L accounts. There is also an option to import the rows from a spreadsheet using the Import from Excel utility. Each balance results in a journal entry with origin OB, so they can be traced.
- You can use the Data Transfer Workbench (DTW) to import open documents such as sales and purchase orders, invoices and payments. The result is a document in the new system.
- For more details on entering opening balances, see the *Data Migration Guide* in the AIP materials.

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Here are some key points to take away from this topic.

- The goal of entering opening balances is to match the balance sheet and the Profit & Loss reports of the legacy system and the new SAP Business One system.
- SAP recommends that you migrate final opening balances in a certain order:
 - Final master data
 - Item quantities and costs, based on an inventory stock take
 - Open transactions such as sales and purchase orders, A/R and A/P invoices, production orders, bills of materials, etc.
 - Final balances for business partners, items, and G/L accounts.
- The cutover period is a crucial time when the legacy system is frozen, stock is counted, and final balances are entered for inventory, business partners and G/L accounts. In the legacy system, the client should close as many open existing transactions as possible, and business partner accounts should be reconciled so that only open invoice balances and prepayments that are not based on an invoice need to be transferred. Item quantities and costs must be entered before open transactions that release inventory can be imported.
- There are multiple options to enter opening balances, and you should discuss the options with the customer.
- You can use the Opening Balances transactions for inventory, business partners, and G/L accounts. There is an option to import the rows from a spreadsheet using the Import from Excel Utility. Each balance results in a journal entry with the origin OB, so they can be easily traced in the new system.
- You can use the Data Transfer Workbench to import open documents such as sales and purchase orders, invoices and payments, if it is preferable to have a document as a source in the new system.
- For more details on a structured approach to entering opening balances, refer to the *Data Migration Guide* from the AIP methodology.

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